

Solving the Great Restructuring



December 9, 2021

LTI's investor day 2021 drew the company's robust journey from IPO until now and guided for a sustainable and consistent growth path going ahead on the back of Cloud and Data, aLTlus program, FOSFOR suiet of products for data monetization and company's strong capabilities and domain expertise. Following are the KTAs:

- Demand for IT outsourcing increasing due to 3 main reasons: 1. The Great Restructuring: Global shift towards digitization due to pandemic 2. New Spend Areas: ESG, Cybersecurity and Digital, Data and Cloud and 3. The Great Resignation: increase in attrition rates of employees has led to supply crunch and wage inflation, which in turn has led to clients preferring outsourcing versus insourcing
- LTI is one the most well balanced companies in terms of capabilities and talent supply
- ISG rated LTI in the leader's quadrant for Digital Business Solutions and Services
- IDC rated LTI as Major Player in Worldwide Managed Multicloud Services 2021
- Achieved \$2 Bn annual run-rate as quarterly annualized run-rate crossed the mark. Next target is to achieve \$ 4 Bn annual run-rate
- Focusing on 4 main areas to win disproportionately versus competition: 1. Deep expertise in industry verticals 2. Scaled up, Ecosystem driven cloud and data services (LTI has the one of the richest partnership ecosystem amongst peers) 3. Productized IT services approach and 4. Design-led approach
- Large deal pipeline (excluding renewals) stood at \$ 2.07 Bn versus \$ 1.9 Bn last year. Growth in deal pipeline might look optically meagre, however, last year's deal pipeline included 3 large deals which are absent in the current year (common phenomenon across the industry). 44% of the large deal wins are from new logos. Additionally, management stated that likelihood of deal realization is higher now versus earlier.

BFSI – Harsh Naidu, CBO

- Breadth of domain and technical capabilities has helped LTI outperform in BFSI industry
- LTI identified capability gaps in the BFSI space and leveraged that with its platforms (Unitrax, Mosaic, Leni, BAAS on Temenos) and digital stack powered by its partnership ecosystem
- Banks are moving from "Digital First" to "Digital Only". Additionally, User Experience (UX) transformation has seen massive importance over the last few years

Cloud & Data – Siddharth Bohra, CBO

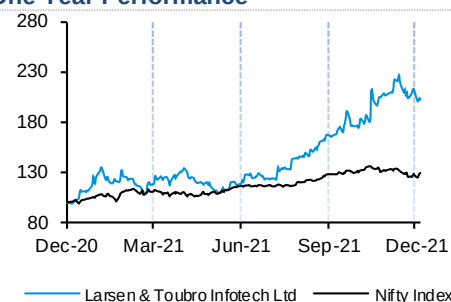
- Management launched "aLTlus" program as an initiative to accelerate Cloud segment. aLTlus strategy mainly focuses on C = BT2 which translates into Cloud is equal to Business Transformation at 2x speed.
- Cloud strategy under aLTlus involves 1. Strong alignment with partner – entirely separate team and development centre for each

Rating	TP (Rs)	Up/Dn (%)
BUY	7,566	15

Market data

Current price	Rs	6,606
Market Cap (Rs.Bn)	(Rs Bn)	1,157
Market Cap (US\$ Mn)	(US\$ Mn)	15,338
Face Value	Rs	1
52 Weeks High/Low	Rs	7565 / 3197
Average Daily Volume	('000)	349
BSE Code		540005
Bloomberg		LTI.IN

Source: Bloomberg

One Year Performance

Source: Bloomberg

% Shareholding	Sep-21	Jun-21
Promoters	74.09	74.25
Public	25.91	25.75
Total	100	100

Source: BSE

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ecosystem partner 2. Strong competency – focus on depth of capabilities 3. Platform enabled approach – cloud transformation platform providing scale, speed and efficiency 4. Productized offering 5. Purpose-led

- 30 accounts identified under aLTIus initiative which can be potential for large cloud transformation projects
- Management introduced FOSFOR suite of products which aid enterprises in data monetization at scale and speed. Data monetization is already a multi-billion dollar industry. Most of the products are co-created with partners or leverage partner's products. Revenue model of these suite of products are on Annual Recurring Revenue basis or license based revenues which are calculated based on units consumed or use cases by clients
- Suite of products include 1. Aspect – to unleash the value of unstructured data 2. Spectra – for DataOps 3. Optic – organizing data journeys 4. Refract – scale AI and 5. Lumin – Data Insights. One can expect FOSFOR to enable LTI to win against competition as usually companies have only 1 of these products whereas LTI is offering the entire suite of products
- This suite of products would enable LTI to offer reduction in effort expended by companies towards managing data

Sales & Marketing – Sudhir Chaturvedi, President Sales and Executive Board Member

- Past programs such as Minecraft, ADEA, Hunting Pack, Aspire and Grit Alliance have led to healthy client additions and strong deal wins
- Capabilities and expertise beat scale and therefore LTI has witnessed good growth in Cloud, Analytics and Enterprise Solutions
- Gartner expects IT Services spend to grow at 9.1% CAGR between FY19-25 compared to 3.5% CAGR between FY13-19
- LTI is in a sweet spot as macro growth is strong in industries that company is present in
- CHIP framework to drive sustainable and consistent growth for LTI.
- Consolidate and Grow existing areas of strength: focus on 50 accounts that can be \$50 Mn accounts
- Harvest Existing Growth engines: such as Fortune 500 accounts, New Logos, High Potential Subverticals (such as BioTech, Streaming, Payments, InsureTech). Focus areas will be Cloud and Data
- Incubate new growth engines: such as new verticals (Green energy, metaverse, Evs, etc.) and focus on alliance with next generation technology companies like Lookr, Xceptor, O9, Freshworks, etc.

Valuation & Outlook

LTI is currently trading at 50.7x / 43.6x FY22e / FY23e EPS. LTI has consistently delivered growth in the leader's quadrant and net profitability of 14-15%. Company's new initiatives to drive Cloud and Digital revenues and products in the data monetization space seem promising and give us confidence that it will continue to deliver as per expectations. We are particularly appreciative of the company's consistent innovative outlook, be it in their internal programs or their GTM approach.

We therefore reiterate our BUY rating on the stock with a target price of INR 7,566, i.e. 50x FY23e EPS estimates.

Financial

P&L Statement						Balance Sheet					
INR mn	FY19	FY20	FY21	FY22E	FY23E	INR Mn	FY19	FY20	FY21	FY22E	FY23E
Revenue	94,458	1,08,786	1,23,698	1,57,474	1,88,207	Share capital	174	174	174	174	174
Growth (%)	29%	15%	14%	27%	20%	Reserves and surplus	48,764	53,866	72,859	88,450	1,04,656
Gross Profit	32,814	35,197	41,505	49,034	57,981	Net Worth	48,938	54,040	73,033	88,624	1,04,830
EBITDA	18,833	20,292	27,251	30,237	35,396	Non Current Liabilities					
EBITDA Margin (%)	19.9%	18.7%	22.0%	19.2%	18.8%	Deferred Tax liabilities	56	101	35	35	35
Depreciation	1,472	2,730	3,325	3,323	3,407	Total debt	936	3,204	859	859	859
EBIT	17,361	17,562	23,926	26,914	31,989	Current Liabilities					
EBIT Margin (%)	18.4%	16.1%	19.3%	17.1%	17.0%	Trade payables	4,669	6,950	8,277	6,623	7,955
Other Income	3,023	3,289	2,743	4,575	4,473	Total Networth and Liabilitie	66692	88249	103902	119069	136607
PBT	20,278	20,025	25,881	30,797	35,781	Assets					
Reported PAT	15,147	15,200	19,381	22,870	26,604	Non Current Assets					
Adj PAT	15,147	15,200	19,381	22,870	26,604	Net fixed assets	3052	4031	2700	1238	1071
PAT Margin (%)	16%	14%	16%	15%	14%	Intangible Assets	6247	7474	8961	11559	13965
EPS (Rs.)	86.4	86.4	110.2	130.1	151.3	Investments	20120	23757	40405	37006	44229
EPS Growth (%)	36%	0%	28%	18%	16%	Deferred tax assets	2386	3039	1476	1476	1476
Ratio Analysis						Current Assets					
	FY19	FY20	FY21	FY22E	FY22E	Cash and bank balances	4150	5252	5583	11542	13261
Margin ratios						Loans & advances	11886	12731	16602	16602	16602
Gross	34.7%	32.4%	33.6%	31.1%	30.8%	Trade Recievables	18263	23121	20835	30201	36094
EBITDA	19.9%	18.7%	22.0%	19.2%	18.8%	Total assets	66692	88249	103902	119069	136607
Adj PAT	16.0%	14.0%	15.7%	14.5%	14.1%	Cash Flow Statement					
Performance ratios						INR Mn	FY19	FY20	FY21	FY22E	FY22E
Pre-tax OCF/EBITDA	99.3%	101.3%	107.5%	72.0%	93.9%	PAT	15147	15200	19381	22870	26604
RoE (%)	34.6%	29.5%	30.5%	28.3%	27.5%	Less: Non Operating Income	-3023	-3289	-2743	-4575	-4473
ROCE (%)	34.0%	29.6%	30.5%	28.6%	27.8%	Add: Depreciation	1472	2730	3325	3323	3407
RoCE (Pre-tax)	45.5%	38.9%	40.7%	38.5%	37.4%	Operating Profit before WC Change	13702	15467	20751	22309	26220
RoIC (Pre-tax)	38.0%	34.0%	35.2%	34.7%	34.8%	(Inc)/Dec in Current Assets	-9539	-10487	-15681	-3004	-11733
Return on Total Assets	26.0%	19.9%	23.0%	22.6%	23.4%	Inc/(Dec) in Current Liabilities	3029	5621	-143	-1654	1331
Fixed asset turnover (x)	34.0	30.7	36.8	80.0	163.1	Net Cash From Operations	7192	10601	4927	17652	15818
Total asset turnover (x)	1.6	1.4	1.3	1.4	1.5	Cash Flow from Investing Activities					
Valuation metrics						(Inc)/Dec in Fixed Assets	-2016	-3709	-1994	-1861	-3240
Fully Diluted Shares (mn)	175	176	176	176	176	(Inc)/Dec in Investment (Strategic)	-955	1060	-2449	-2963	-1383
Market cap (Rs.mn)	11,56,613	11,60,312	11,59,892	11,59,892	11,59,892	Add: Non Operating Income Income	3,023	3,289	2,743	4,575	4,473
P/E (x)	76.4	76.3	59.8	50.7	43.6	Cash From Investing Activities	-1,943	-1,064	-3,257	-2,847	-2,556
EV (Rs.mn)	11,53,399	11,54,565	11,51,889	11,45,930	11,44,211	Cash Flow from Financing Activities					
EV/ EBITDA (x)	61.2	56.9	42.3	37.9	32.3	Dividend Paid	-4499	-4864	-5592	-6116	-8738
FCF Yield	1.0%	1.2%	1.6%	0.7%	2.0%	Tax Paid on Dividend	-842	-815	-671	-1162	-1660
P/BV (x)	23.6	21.4	15.8	13.1	11.0	Net Cash from Financing Activities	-4726	-9545	-1606	-7970	-11079
Dividend pay-out (%)	35.3%	37.4%	32.3%	31.8%	39.1%	Opening Balance	3632	4150	5252	5583	11542
Dividend yield (%)	0.4%	0.4%	0.5%	0.5%	0.8%	Closing Cash Balance	4155	4142	5316	12418	13725
						Free Cash Flow Statement					
						INR Mn	FY19	FY20	FY21	FY22E	FY23E
EBITDA	18,833	20,292	27,251	30,237	35,396	EBITDA	18,833	20,292	27,251	30,237	35,396
FC Investment	-2016	-3709	-1994	-1861	-3240	FC Investment	-2016	-3709	-1994	-1861	-3240
WC Changes	-6510	-4866	-15824	-4657	-10402	WC Changes	-6510	-4866	-15824	-4657	-10402
Depreciation Tax Shield	372	658	835	855	874	Depreciation Tax Shield	372	658	835	855	874
Tax Expenses	4758	4889	6844	7783	9078	Tax Expenses	4758	4889	6844	7783	9078
FCF	18941	17217	35072	26105	34353	FCF	18941	17217	35072	26105	34353

Source: Dalal & Broacha Research, Company

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